13161402

COMMERCIAL STUDIES

Maximum Marks: 80

Time allowed: Two hours

1. *Answers to this Paper must be written on the paper provided separately.*
2. *You will **not** be allowed to write during the first **15** minutes.*
3. *This time is to be spent in reading the question paper.*
4. ***The time given at the head of this Paper is the time allowed for writing the answers.***

5. *Attempt **all** questions from **Section A** and **any four** questions from **Section B**.*
6. *The intended marks for questions or parts of questions are given in brackets [ ].*

Instruction for the Supervising Examiner

Kindly read aloud the Instructions given above to all the candidates present in the Examination Hall.

SEAL

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SECTION A (40 Marks)

*(Attempt **all** questions from this **Section**.)*

Question 1

Choose the correct answer to the questions from the given options. [1

(Do not copy the questions, write the correct answers only.)

(i) Choose the correct option with regard to Products and Services:

(a) Products are intangible, whereas Services are tangible.

(b) Products are not transferable, whereas Services are transferable.

(c) Products cannot be stored, whereas Services can be stored.

(d) Products are durable, whereas Services are perishable.

(ii) ₹ 600 spent on repairing a machine in a firm is treated as:

(a) Capital receipt

(b) Revenue expenditure

(c) Capital expenditure

(d) Deferred revenue expenditure

(iii) The image given below indicates which form of Sales Promotion?



(a) Free sample

(b) Premium

(c) Coupon

(d) Trading stamp

(iv) **Assertion (A):** Commercial Banks are required to keep a certain proportion of their deposits as cash reserves with the Central Bank.

Reason (R): Cash reserves enable the Central Bank to exercise control over credit by Commercial Banks.

(a) (A) is true and (R) is false.

(b) (A) is false and (R) is true.

(c) Both (A) and (R) are true and (R) is the correct explanation of (A).

(d) Both (A) and (R) are true but (R) is not the correct explanation of (A).

(v) While Gina was in Delhi for an official meeting, her mother is rushed to the hospital for a medical emergency in Goa. Gina needs to reach her mother quickly.

Which means of transport will she use?

(a) Road transport

(b) Rail transport

(c) Water transport

(d) Air transport

(vi) A cosmetic product may cause allergy to sensitive skin. This information is not disclosed on the packaging by the producer.

Which Act would deal with this issue?

(a) Environment Protection Act

(b) Prevention and Control of Pollution Act

(c) Consumer Protection Act

(d) Banking Regulations Act

(vii) An employee does not contribute to Gratuity.

(a) True

(b) False

(viii) **Assertion (A):** The holders of equity shares are the main risk bearers in a company.

Reason (R): The equity shareholders have no voting rights in the company.

(a) (A) is true and (R) is false.

(b) (A) is false and (R) is true.

(c) Both (A) and (R) are true and (R) is the correct explanation of (A).

(d) Both (A) and (R) are true but (R) is not the correct explanation of (A).

(ix) The ERP module which helps to manage employee information, track employee records like performance reviews, job descriptions and attendance is _____.

(a) Purchase Module

(b) Inventory Module

(c) Finance and Accounting Module

(d) Human Resource (HR) Module

(x) Which of the following is **NOT** a contract of Indemnity?

(a) Health Insurance

(b) Life Insurance

(c) Fire Insurance

(d) Marine Insurance

(xi) Raju has been selected as a plumber in a construction company. Name the type of training he must undergo.

(a) Apprenticeship training

(b) Job rotation

(c) Classroom training

(d) Vestibule training

(xii) Budgets are very useful in management.
Identify which of the following will be **true** in this context.

I: The purpose of the budget is to set the target and allocate the resources.

II: Budgets do not allow delegation of authority.

III: Budgets help to shift responsibility on others.

IV: Budgets bring efficiency and economy to a business firm.

(a) II and III

(b) I and IV

(c) I and III

(d) II and IV

(xiii) Which organisation in India is responsible for controlling all forms of pollution?

(a) Water Pollution Control Board

(b) Air Pollution Control Board

(c) State Pollution Control Board

(d) Central Pollution Control Board

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(xiv) Net profit or Net loss is transferred from:

(a) Trial Balance to Trading Account

(b) Trading Account to Profit and Loss Account

(c) Profit and Loss Account to Balance Sheet

(d) Trading Account to Balance Sheet

(xv) Which of the following stakeholders provide loans to the commercial organisations?

(a) Suppliers

(b) Creditors

(c) Government

(d) Employees

(xvi) Cost of raw materials is a:

(a) Variable direct cost

(b) Variable indirect cost

(c) Fixed direct cost

(d) Fixed indirect cost

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Question 2

Write *any two* differences between:

(i) *Advertising* and *Publicity* [2]

(ii) *Budget* and *Forecast* [2]

(iii) *Shares* and *Debentures* [2]

(iv) *Capital Receipts* and *Revenue Receipts* [2]

Question 3

(i) Give *two* differences between *On-the-job training* and *Off-the-job training*. [2]

(ii) When the balance of payments is unfavourable, the foreign exchange resources are reduced. [2]

(a) In this situation, what advise does the Central Bank give to the Government?

(b) Which function of the Central Bank is depicted in (a) above?

(iii) Briefly explain *any two* features of the *Environment Protection Act*. [2]

(iv) Discuss *any two* objectives of *Marketing*. [2]

Question 4

(i) What do you mean by *Fixed Cost*? Give *two* examples. [2]

(ii) Infosys recruited a few candidates from IIT, Kanpur in the year 2025. [2]

(a) Identify the source of external recruitment from the above statement.

(b) State *one* advantage of the same.

(iii) What is a *Trading Account*? [2]

(iv) Briefly explain *Public Warehouse*. [2]

SECTION B (40 Marks)

*(Attempt **any four** questions from this **Section**.)*

Question 5

(i) Observe the image and answer the following questions: [5]



(a) Identify the fraud depicted in the picture.

(b) Explain *any two* financial fraudulent practices.

(ii) *"This is a market where equity and debt are marketed in the form of shares, stocks and long-term securities."* [5]

(a) Identify the market.

(b) Explain *any four* functions of this market.

Question 6

(i) A computer software that manages all the resources of the organisation. [5]

(a) Name the software.

(b) Explain the following modules:

1. CRM Module
2. Sales Module

(ii) (a) Mrs. Basu had parked her car in her regular parking spot at the office. Another employee, Arjun, accidentally crashed into Mrs. Basu's car while reversing his car. This entailed expenses of ₹ 60,000 which she received from the insurance company for damages and repairs. Mrs. Basu later also recovered ₹ 30,000 from Arjun. [5]

1. State the Principle of Insurance.
2. Discuss if Mrs. Basu's course of action is justifiable. Give reasons for your answer.

(b) Write a short note on *Preference Shares*.

Question 7

(i) Mrs. Pandit purchased a packet of chilli powder from a local grocery store. After using it, she noticed that the colour of the food had changed drastically. [5]

(a) Identify and explain the type of consumer exploitation.

(b) Suggest *any one* action Mrs. Pandit can take to protect herself from such exploitation.

(c) Explain the *Right to be Informed* under the Consumer Protection Act, 2019.

(ii) *These are relationships between the management and employees that grow out of employment.* [5]

(a) Which term is being referred to in the above statement?

(b) State *four* objectives of such relations.

Question 8

(i) Rahul, an entrepreneur, feels that his business is wasting a lot of money on advertising every year. Aman, his partner, does not agree and feels that advertising is very important in today's world. [5]

(a) Whom do you agree with, Rahul or Aman?

(b) Giving *four* points, justify your viewpoint.

(ii) (a) Identify the stakeholders who invest in the capital and assume greater risk or loss of capital in the enterprise. [5]

(b) Give *four* expectations the above stakeholders may have from the commercial organisation.

Question 9

(i) Write short notes on: [5]

(a) *Provident Fund*

(b) *Transfers*, as a type of Internal Recruitment

(ii) Explain *three* merits and *two* demerits of *Rail transport*. [5]

Question 10 [10]

Given below is the Trial Balance of XYZ & Co. Ltd as on 31st March, 2025.

Prepare a Trading and a Profit and Loss account for the year ending 31st March, 2025.

Also prepare a Balance Sheet as on 31st March, 2025.

Trial Balance of XYZ & Co. Ltd.

as on 31st March, 2025

Dr.			Cr.
Particulars	**Amount (₹)**	**Particulars**	**Amount (₹)**
Opening stock	15,000	Overdraft	43,200
Purchases	66,000	Purchase return	3,000
Carriage outwards	1,800	Sundry creditors	30,000
Bad debts	1,800	Sales	1,15,000
Sales return	6,000	Capital	80,000
Drawings	4,000	Commission received	900
Trade expenses	3,600		
Salaries	18,000		
Discount	1,200		
Rent	12,000		
Furniture	18,000		
Plant and Machinery	1,08,000		
Debtors	16,700		
Total	**2,72,100**	**Total**	**2,72,100**

Closing stock was valued at ₹ 25,000.